Chapter 7 | Practice Questions

Inventory and cost of goods sold

Report to me (yu10j@cmich.edu) if you spot critical errors.

Set 1 | Choosing FIFO or LIFO INDEPENDENT

Q1. A company wants to **minimize its income taxes**. Which inventory costing method should it choose under each circumstance?

	A	B
1. a. Declining costs	FIFO	LIFO
2. b. Rising costs	FIFO	LIFO

Q2. When costs are **rising**, why does the method chosen in (b) minimize income taxes?

A. It assigns the newest, highest costs to cost of goods sold, so income and taxes are lower
B. It assigns the oldest, lowest costs to cost of goods sold, so income and taxes are lower
C. It reports the highest possible ending inventory, so income and taxes are lower
D. It reduces the price the company pays its suppliers for the goods

Answers, Set 1:
Q1. 1 A 2 B
Q2. A

Set 2 | FIFO and LIFO with One Purchase INDEPENDENT One method per question.

The following are the transactions for the month of July. A **periodic** inventory system is used.

Date		Units	Unit Cost	Unit Selling Price
July 1	Beginning Inventory	50	$10	
July 13	Purchase	250	13	
July 25	Sold	(100)		$15
July 31	Ending Inventory	200		

Q1. Two figures are the same whichever costing method is used. Determine each amount.

	A	B	C	D
1. Cost of goods available for sale	$500	$3,000	$3,250	$3,750
2. Sales	$1,150	$1,300	$1,500	$4,500

Q2. Under **FIFO**, determine each amount.

	A	B	C	D
1. Ending Inventory	$2,000	$2,450	$2,600	$3,750
2. Cost of Goods Sold	$1,000	$1,150	$1,300	$1,500
3. Gross Profit	$200	$350	$500	$1,500

Q3. Under **LIFO**, determine each amount.

	A	B	C	D
1. Ending Inventory	$2,000	$2,450	$2,600	$3,750
2. Cost of Goods Sold	$1,000	$1,150	$1,300	$1,500
3. Gross Profit	$0	$200	$350	$500

Answers, Set 2:
Q1. 1 D 2 C
Q2. 1 C 2 B 3 B
Q3. 1 B 2 C 3 B

Set 3 | FIFO and LIFO with Three Purchases INDEPENDENT One method per question.

In its first month of operations, a new bookstore bought merchandise in the following order:

1. 300 units at $7 on January 1,
2. 450 units at $8 on January 8, and
3. 750 units at $9 on January 29.

900 units are on hand at the end of the month. A periodic inventory system is used.

Q1. Start with the figures that are the same under either method. Determine each amount.

	A	B	C	D
1. Cost of goods available for sale	$5,700	$6,750	$12,450	$13,500
2. Units sold during the month	300	600	900	1,500

Q2. Under **FIFO**, determine each amount.

	A	B	C	D
1. Ending Inventory	$7,050	$7,950	$8,100	$12,450
2. Cost of Goods Sold	$4,200	$4,500	$5,400	$12,450

Q3. Under **LIFO**, determine each amount.

	A	B	C	D
1. Ending Inventory	$6,300	$7,050	$7,950	$12,450
2. Cost of Goods Sold	$4,200	$4,500	$5,400	$6,750

Answers, Set 3:
Q1. 1 C 2 B
Q2. 1 B 2 B
Q3. 1 B 2 C

Set 4 | FIFO and LIFO Splitting a Layer INDEPENDENT One method per question.

A company began operating on June 26 with no inventory on hand. It then made the purchases listed below, and **sold and delivered 46 units on June 30**.

Date	Description	Units	Unit Cost	Total Cost
June 27	Purchase	12	$8	$96
June 28	Purchase	38	9	342
June 29	Purchase	20	11	220

Q1. Determine the amounts that do not depend on the costing method.

	A	B	C	D
1. Number of units available for sale	24	46	70	116
2. Cost of goods available for sale	$438	$562	$658	$754
3. Number of units in ending inventory at June 30	20	24	26	34

Q2. Under **FIFO**, determine each amount.

	A	B	C	D
1. Ending Inventory	$204	$216	$256	$264
2. Cost of Goods Sold	$368	$402	$414	$454

Q3. Under **LIFO**, determine each amount.

	A	B	C	D
1. Ending Inventory	$192	$204	$256	$264
2. Cost of Goods Sold	$402	$454	$506	$658

Answers, Set 4:
Q1. 1 C 2 C 3 B
Q2. 1 C 2 B
Q3. 1 B 2 B